Project 1 | Edition B - AI-assisted research evolution

Company: Oracle Corporation (ORCL) | **Security:** common equity | **Prepared:** October 19, 2026
Decision user: Buy-side investment committee, assumed to hold no Oracle position.
Action: WATCH / DEFER. No new position from the unverified DCF diagnostic. All figures are educational estimates, not investment advice.

Decision evolution

Edition A (original source dated September 3, 2026): I identified cloud-infrastructure growth as the opportunity and large capital spending, debt, dilution and data-center returns as the risks. My original recommendation was **watch/defer**, pending a dated price, complete equity bridge and adequate margin of safety. The valuation setup relied on Oracle's FY2026 Form 10-K and a September 1 intended valuation date; it did not produce a defensible final intrinsic price.

Subsequent investigation: I built an illustrative FCFF DCF (Lab 06), compared Microsoft and Salesforce using a dated September 10 P/E peer policy (Lab 08), and developed a five-year three-statement Oracle forecast (Lab 10). Lab 11 retained both passing and failing financing stress cases and documented an independently authored prediction before its historical growth test; partner Aidan Murrin questioned revenue-growth assumptions. In Lab 12, Nicole Yu's questions focused on whether cloud spending could be financed and converted into cash flow. These earlier reference values are dated and model-dependent; they cannot be averaged into a final estimate.

AI-assisted revisions: Rev 1 links *signed* FCFF to the statements and preserves negative early cash flows. Rev 2 reconciles Oracle's subsequently reported August 31, 2026 Form 10-Q. Rev 3 models only the remaining nine months of FY2027 and the next four full fiscal years. Rev 4 isolates unrestricted versus restricted cash and financing claims. The final workbench exposes bounded drivers, restoring the base, a deliberately failing check, twelve software tests, and visible scenario output. The AI role was code/reconciliation/drafting support, not a substitute for analyst judgment.

What I learned and what remains unresolved

The refreshed forecast retains about **negative $31.65 billion** in FCFF during FY2027's remaining nine months and **negative $8.72 billion** in FY2028. Under **illustrative** assumptions of 11.4% WACC and 3.0% terminal growth, the calculated **$57.72/share** is only a *diagnostic*: **95.8%** of enterprise value arises from the terminal value. Oracle's financing constraints fail when FY2028 capex is raised 10% with other revenue drivers held fixed; this invalid scenario is not assigned a stock value. Revenue-growth and margin sensitivities matter, but neither demonstrates that the terminal forecast is achievable.

My initial **watch/defer** call therefore **does not change**. The reason is more specific: to justify initiation I need sourced costs of capital, credible FY2032 replacement/growth spending, time-consistent updated financials, durable cash generation from cloud capacity, and reconciled dilution and debt claims. The original Edition A question -- whether debt-funded data centers earn adequate returns -- remains a priority research test, not a question this model can yet answer reliably.

Evidence and attribution

- **Original independent baseline:** `Project_1_Edition_A_ORCL.md` is preserved byte-for-byte (SHA-256: `f5a7443624ddd7bec59e5f65fd702e2f62c828b850cff2249c0caba84ef9e6af`), recovered from the user's prior file library. Its *text* is rendered in the accompanying PDF. The original Brightspace-submitted PDF and its first submission receipt have not been independently verified.
- **Source records:** Oracle FY2026 10-K and FY2027 Q1 10-Q, in `docs/source-ledger.md`. Historical course work: Lab 8, Lab 11, Lab 12.
- **Human review required:** The committee action and this research interpretation must be read, challenged, and approved by the student. Do not label software tests or unverified market/model assumptions as independent source validation.